

What are July’s declines costing us?

\$84.2k of July’s payments were declined, and \$67.4k of that was creators’ earnings. Across 10,000 attempts on two providers, two thirds of the loss sits in two places we can act on: subscription rebills, and fan-initiated payments on Gateway 2.

67.8% Approval rate 8,632 real payments	\$274.7k Value attempted all in USD	\$84.2k Value declined 31% of value	\$67.4k Creator earnings lost 80% creator share
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Biggest takeaways from the data

- **Rebills fail 2 in 3 times.** 31.6% approval, against 83.4% when the fan is present. They are 27% of payments but 38% of declined value. Creators lost \$25.6k on rebills, more than they earned from them.
- **One provider is 11 points better.** On identical traffic (US card, fan-initiated, mainstream bank, verified address) Gateway 1 approves 93.5% against 82.8%. Inside Gateway 2, merchant_E beats merchant_C on the same traffic.
- **Weak card and address data costs approvals.** Unverified addresses approve 57% against 88%. Fintech and neobank cards approve 16% against 49% on merchant-initiated charges.

DO THIS	AT STAKE	PRIORITY	EFFORT TO TEST	OWNER
Route verified US traffic to Gateway 1, and merchant_C’s volume to merchant_E 10.7 and 5.5-point gaps on like-for-like traffic	~\$8.4k / month	HIGH	LOW routing change, no new data	Payments
Retry rebill declines at better times; never retry hard declines \$38.1k sits in “retry later”; \$13.6k should never be retried	\$38.1k pool	HIGH	HIGH needs fan ID and timestamps first	Payments + Product
Fix card details before we charge Address capture at checkout, \$0 pre-check, account updater	\$23.3k pool	MEDIUM	HIGH checkout and billing changes	Product
A/B test the traffic we can’t compare Rest of world, fintech cards, weak address checks, “do not honour” retries	To be sized	BY VOLUME	MEDIUM split traffic, wait for a result	Payments

The data we have, and the gaps that block us

Cleaned in a repeatable SQL pipeline (dbt): every issue is labelled, nothing is deleted, so Finance can still reconcile every row.

10,000 rows in the export	-1,366 \$0 card checks: not payments, reported separately	-2 duplicate charges: same card charged twice	8,632 real payments analysed
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What I fixed

BEFORE → AFTER

Took \$0 card checks out of payments avg \$23.76 → \$31.46	Mapped 77 decline spellings to 35 reasons and 9 actions 18.9% → 44.6% insuff. funds	Treated Gateway 2’s 00000 as a blank auth code 47 conflicts → 1 real	Grouped fan- vs merchant-initiated, like for like 70% labelled → 99.9%	Converted 87 BRL payments to USD (proxy rate 5.50) mixed currency → all USD
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What we need from engineering

GAP IN THE DATA	WHAT IT BLOCKS	WHAT WE NEED	EFFORT
No unique transaction ID 55 references shared by different fans (111 rows)	Reconciling against each provider’s reports; joining refunds and chargebacks. De-duplicating on it would delete real payments	A unique ID per attempt, issued by us	LOW ours to fix
No fan, subscription or creator ID 9,916 card tokens across 10,000 rows; Gateway 2 sends no fan reference	Following a fan across retries and providers; measuring recovery; showing which creators lose most	A hashed fan_id from the email we already hold, so no personal data is exposed, plus subscription, creator and product type on every charge	LOW ours to fix
Broken timestamps Only MM:SS survives; the file went through a spreadsheet	Trends, payday effects, retry timing, real duplicate detection	Full date, time and timezone, from a direct extract, not a spreadsheet	LOW ours to fix
Inconsistent provider data 77 decline spellings; Gateway 2 omits the bank on 28% and the card scheme on 39%	Comparing providers, bank-level routing, sizing the fintech problem	One standard for every provider: at the source where they allow it, otherwise in dbt, with engineering and data keeping the map accurate	HIGHER third-party, and more providers to come

Working agreement. What we generate is quick to fix; provider data is not, and each new provider adds a dialect. Engineering should tell data before onboarding one, with a sample payload, so the mapping is ready on day one.

What factors drive lower approval rates?

1 • Payment type approval · payments



Rebills are 27% of payments but 38% of declined value (\$32.0k).

3 • Bank type



Fintech cards on merchant-initiated charges: \$12.0k declined.

2 • Address check (fan-initiated)



Weak address checks: 729 payments, \$11.3k declined.

4 • Payment size (fan-initiated)



\$100+ is 8% of fan payments but 57% of their declined value (\$24.1k). Lower on both providers.

5 • Provider · merchant account

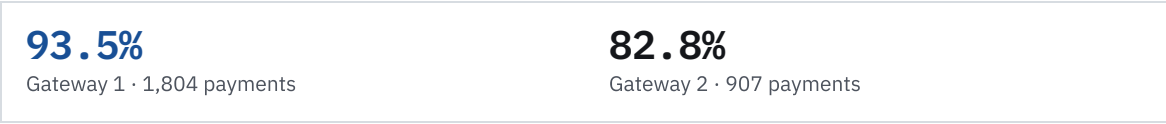
ACCOUNT	WHO IT SERVES	PAYMENTS	FAN-INIT.	REBILLS	ALL
G1 · merchant_B	US cards	4,209	90.1%	31.8%	72.0%
G1 · merchant_A	UK & international (81% UK)	789	89.7%	34.3%	76.2%
G2 · merchant_E	US & Canada	1,798	80.1%	30.9%	63.9%
G2 · merchant_C	US & Canada	889	71.4%	33.9%	61.1%
G2 · merchant_D	Rest of world (Mexico, UK, Australia...)	859	69.5%	30.8%	57.0%
G2 · merchant_A	Brazil, in BRL	79	64.4%	17.6%	44.3%

Accounts are chosen by the card’s billing country. Names repeat across providers but are different accounts. Gateway 2’s merchant_B (8 BRL payments) not shown.

Quick win: re-route similar traffic to channels with higher approval rates

The providers serve different fans: only Gateway 2 takes Latin America and most of the rest of the world. So I only compare where they overlap, holding everything else equal: **US card · fan-initiated · mainstream bank · full address match**.

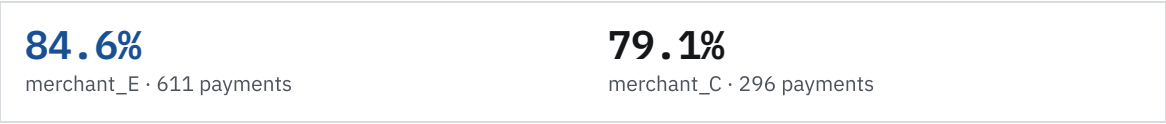
Gateway 1 vs Gateway 2 QUICK WIN 1



A 10.7-point gap on identical traffic, statistically solid. The same banks approve more on Gateway 1 (e.g. Bank of America, US fan-initiated: 96% vs 77%).

Action: route this segment to Gateway 1 as a test. Up to ~\$6.2k / month more approved value.

merchant_E vs merchant_C (both Gateway 2) QUICK WIN 2



Same provider, same countries, same \$40 average, same card and address mix. Across all fan-initiated payments the gap is 80.1% vs 71.4%.

Action: ask the provider why merchant_C’s setup differs, or move its volume to merchant_E. Up to ~\$2.2k / month.

Check before moving volume: provider fees, contract volume commitments and each provider’s appetite for adult merchants aren’t in the data. Gateway 2 may also receive Gateway 1’s retries, which would make its traffic harder, and we can’t check without a fan ID.

A/B test everything else

TRAFFIC	WHY NOT MOVE IT STRAIGHT AWAY	TEST
Rest of world, Brazil	Only Gateway 2 serves it; Gateway 1 may lack local acquiring or BRL	Ask Gateway 1 first, then a small split
Subscription rebills	Both providers approve ~31–32%: no provider gap to capture	Test retry timing instead (page 5)
Fintech cards, weak address checks	Harder traffic on both providers; the gap may not transfer	Randomised 50/50 split
Gateway 2 “do not honour” declines	Generic soft decline; may pass on the other provider	Retry once on Gateway 1

How we’d know it worked: randomise, don’t compare before and after. About 1,100 payments per group detects a 5-point lift. Watch chargebacks, fraud and fees alongside approval.

Why payments are declined, what should we do?

ACTION	DECLINE REASONS IT COVERS	DECLINED	SHARE	G1 / G2
Retry later Retry at a better time, e.g. payday	Insufficient funds, velocity limit	\$38.1k	45%	46/54
Reroute / retry once Try the other provider once	Generic “do not honour”	\$15.3k	18%	5/95
Hard stop Never retry	Lost or stolen, suspected fraud, restricted	\$8.7k	10%	91/9
Ask fan to update card Prompt the fan	Expired, invalid number, CVV or address mismatch	\$6.3k	7%	52/48
Fix provider setup Fix with the provider	Processing and system errors, invalid merchant	\$4.9k	6%	5/95
Treat as cancellation Stop billing	Fan blocked us, authorisation revoked	\$4.9k	6%	99/1
Bank blocks category Offer another payment method	Bank policy, not permitted for cardholder	\$4.6k	5%	100/0
Step up authentication Send through 3-D Secure	3-D Secure required or failed	\$0.7k	1%	38/62

Share = % of all declined value (darker = bigger). Pie = split by provider: Gateway 1, Gateway 2. Recoverable: \$65k. Gateway 1 reports specific reasons; Gateway 2 mostly generic “do not honour”, so the split partly reflects labelling.

Recommendations

1 · Smarter retries

Retry insufficient-funds declines around payday, with a cap. Stop retrying hard stops and cancellations: it costs fees and breaks card-scheme retry rules.

\$38.1k retry-later · \$13.6k never retry

2 · Fix card details before we charge

Capture the full billing address and use the \$0 card check to catch bad details. For fintech cards, use account updater and remind fans before renewal.

\$11.3k weak address · \$12.0k fintech

3 · Use both providers

Run the two quick wins on page 4. Retry “do not honour” once on the other provider. Review setup errors with each provider.

\$15.3k reroute · \$4.9k setup

Measure each one against a holdout: recovered value within 7 days, plus chargebacks, fraud, retries per payment and cancellations.

Appendix: how values were grouped

Payment groups, per provider

GROUP	GATEWAY 1	GATEWAY 2	APPROVAL (G1 / G2)
Fan-initiated	No initiator tag (2,964) + first subscription charges tagged “Initial MIT” (134)	Code C (2,478)	90.0% / 75.1%
Subscription rebill	Merchant-initiated with placeholder fan ref ‘ 5 ’ (1,167)	Code M (1,147)	32.1% / 31.1%
Other merchant-initiated	Remaining merchant charges (733)	Not identifiable	63.8% / –
Not a payment	–	\$0 card checks (1,366)	– / 71.5% pass

Definitions

Fan-initiated	The fan is present and starts the payment: tips, pay-per-view, new subscriptions.
First subscription charge	Fan-present, but it also sets up future merchant charges. Gateway 1 labels it merchant-initiated (“Initial MIT”); Gateway 2 labels it C. Grouped as fan-initiated: 3-D Secure present, 81% approval.
Subscription rebill	A monthly charge to a saved card without the fan present.
Fintech / neobank	Cards from banks that issue for fintech, neobank and prepaid programmes: Sutton, Bancorp, Stride, Green Dot, Pathward (MetaBank). Based on industry knowledge.
Mainstream bank	Any other named bank. “Unknown” = no bank name (28% of Gateway 2), not shown.
Address check	Full or ZIP match; partial or no match; not verified or none returned.
Merchant account	OnlyFans’ account at each provider, chosen by the card’s billing country. Key = provider + account.

Assumptions to confirm with Payments / engineering

- Gateway 2 C / M = fan-initiated / rebill; M has nothing else in it
- Gateway 1’s “Initial MIT” charges are first subscription payments
- \$0 rows are card checks, not payments
- BRL converted at 5.50 per USD (87 payments)
- The fintech bank list above